

RATING METHODOLOGY – BANKS AND FINANCIAL INSTITUTIONS

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This rating methodology updates and supersedes ICRA's earlier methodology document on banks and financial institutions, published in October 2022. While this revised version incorporates a few modifications, ICRA's overall approach to rating banks and financial institutions remains materially similar. This document does not include an exhaustive discussion of all the rating factors considered by ICRA but provides an overall perspective on the parameters that are usually the most important. While it provides an overview of the salient rating considerations, readers may refer to the other cross-sector methodologies¹ available on ICRA's website for more details.

Overview

This methodology document covers ICRA's approach towards assessing the credit quality of banks (including small finance banks (SFBs), regional rural banks (RRBs) and cooperative banks) and All India Financial Institutions (AIFIs). The initial section discusses the aspects covered to arrive at the standalone credit profile of the issuer. ICRA may notch up the standalone rating of the issuer (say for Government-owned institutions), based on the [rating approach to factor in the implicit support from the parent or the Group](#). This notched-up standalone credit rating will reflect the credit opinion on the senior-most borrowings/debt instruments (like deposits, infrastructure bonds) of the issuer while the ratings for some of the debt instruments (like Tier I or Tier II bonds), eligible for inclusion in capital ratios, could be notched down from the senior rating as per the notching criteria discussed later in the document.

ICRA's credit rating for banks and AIFIs reflects its opinion on the relative exposure to the business and the financial risks faced by the entity while it incorporates the likelihood of the entity receiving extraordinary financial support from the parent (or an affiliate) in case of distress. A broad list of the rating factors that ICRA assesses while analysing banks is covered in this note. While these do not necessarily represent an exhaustive set of the factors considered by ICRA for assigning credit ratings, these are intended to provide an overall perspective to lenders, investors and other market participants on the parameters that are usually considered the most important. The key factors considered in the credit analysis are:

Industry Risk Assessment

- Operating environment
- Regulatory environment

Business Risk Assessment

- Franchise
- Management, governance and information reporting
- Risk management

¹ In various instances, ICRA's analysis is guided by considerations that are not specific to a given sector but find relevance across sectors. Examples of such considerations include how parent or group support impacts an entity's rating, the approach to consolidation, the impact of structural features or explicit third-party support on an entity's rating, holding company methodology, and so on. Methodology documents that describe ICRA's approach towards such cross-sector analytical considerations are available at ICRA's website www.icra.in.

Promoter Support and Financial Flexibility

Financial Risk Assessment

- Asset quality
- Diversity in funding and liquidity
- Profitability, earnings stability and prospects
- Capital adequacy and management

Assessment of ESG Risks

- Environmental and social risks
- Governance risks

Industry Risk Assessment

Operating environment

The operating environment is one of the important parameters, which could affect a bank's growth, asset quality and earnings. It reflects the prevailing economic conditions including liquidity conditions, interest rate cycle, economic growth prospects, and the outlook for deposits and credit growth. A favourable economic environment is generally characterised by high credit growth with stable funding and benign liquidity conditions, with expectations of less pressure on the asset quality and vice versa. This apart, the legal environment drives the pace of recoveries or losses upon default from the stressed assets. The outlook on the operating environment forms the basis of the assumptions for various operating parameters so as to arrive at a forward-looking credit opinion on the issuer. Besides the above, the structure of the financial market, its stage of development, and avenues for the borrowers to raise funds from other sources (like debt capital markets or overseas borrowing) form an important part of the evaluation of the operating environment for the sector.

Regulatory environment

A well-regulated and supervised system is the backbone supporting the credibility and stability of banks. The regulatory environment has a bearing on how banks decide to run their operations in the context of (a) prudential norms relating to capital adequacy², liquidity buffers, provisioning, asset classification, and loan restructuring, (b) policy changes in response to the evolving macro and liquidity conditions, including those relating to policy rates and money supply, (c) social or sectoral growth considerations that shape the norms on directed lending, (d) supervisory actions on individual banks and other financial institutions, (e) prospective regulatory changes driven by financial sector reforms as well as international environment/learnings, and (f) competitive intensity alterations brought about by the issuance of new licences.

This apart, the development of capital markets could enable borrowers to access these markets directly, leading to growth and profitability pressure on lenders. Overall, regulatory developments can potentially impact ICRA's assessment and outlook on the asset quality, capital cushions, profitability, and liquidity of banks, which are among the key drivers of the rating outcome.

² The global meltdown had triggered several regulatory changes in India in the past, including higher core capital, loss-absorbing debt capital instruments, and liquidity buffers under Basel III regulations. Regulatory decisions also influence the serviceability and write-down criteria for debt capital instruments

Business Risk Assessment

Franchise

The franchise strength of an entity determines its capacity to grow while maintaining a reasonable cost-to-income ratio and profitability, thereby providing stability to earnings. A strong customer franchise results in a granular asset and liability base, provides opportunities to garner a higher share of granular fee-based income, and results in better cross-selling ability. ICRA evaluates the franchise strength of an entity in terms of its scale of operations/market share and its presence across various financial services segments, which improves customer engagement and retention levels. Increasing digital presence is the way forward for banks, though the physical infrastructure of branches remains a focus area for the sustainable growth of a competitive liability base. For AIFIs, which largely have wholesale assets and liabilities, the asset and liability profile is driven by their lending mandates and the regulatory allocation of deposits from banks against their shortfall in priority sector lending (PSL) targets. Hence, this may not be applicable to AIFIs.

Management, governance and information reporting

The quality of the management and governance and the information reporting process followed to cater to the stakeholders' requirements are evaluated on the following parameters:

Quality of management and governance

- **Constitution of board of directors:** A board consisting of qualified and independent members with effective oversight is a positive factor and is typically reflected in the operational and financial performance of the bank.
- **Management depth and breadth:** The presence of qualified and experienced professionals and the track record of a stable top management are positive factors. Business outcomes vis-à-vis the guidance provided by the bank also become parameters for assessing the management profile. Managements with the ability to identify emerging risks and select the chosen areas of growth are considered favourably and vice versa.
- **Established policies:** Established policies on factors such as capital cushions vis-à-vis regulatory levels, stressed asset provisioning beyond the regulatory minimum levels, calibrated growth while maintaining liquidity, and the granularity of assets and liabilities are some positive attributes. The demonstrated track record of adhering to these policies reflects favourably on the management.
- **Strategy:** A well-laid out business plan with regular disclosures on strategy and progress on goal achievements are some positive factors.

Information system and reporting

- **Quality of disclosures:** A well-established information system is a prerequisite for adequate disclosures. Some of the positive attributes of information disclosures include consistency and timeliness. When an entity publishes disclosures beyond the minimum regulatory requirements or conducts earnings calls regularly, it reflects well on the commitment to transparency.
- **Financial reporting and systems:** A well-established information system also supports accuracy in financial reporting on a consistent basis and limits instances of regulatory non-compliance. Frequent instances of regulatory non-compliance or divergence in financial reporting vis-à-vis regulatory audits reflect weakness in the information systems and are negative attributes.
- **Extent of divergence reported by the bank:** As per the Reserve Bank of India's (RBI) guidelines, banks are required to disclose the divergence between asset classification and provisioning if the additional provisioning requirements assessed by the RBI exceed 10% of the published profit before provisioning or the additional gross non-performing advances (NPAs) identified by the RBI exceed 15% of the published incremental gross NPAs during the reference period. A high level of divergence between asset classification and provisioning on a consistent basis weakens the reliability of the reported financials.

- **Credit monitoring:** A strong information system enables efficient monitoring of the asset quality while generating early warning signals. The management's opinion on corrective action plans for potential stressed assets forms a key part of ICRA's discussions with the management.

Risk management

The evaluation of the bank's risk appetite and management is based on the following parameters:

- **Credit risk:** A discussion is held with the management on the quality of the fresh exposures, the performance of the vulnerable³ accounts and movements in the concentration of exposures. High slippage rates or high overdue levels could reflect weak risk management systems.
- **Market risk:** During a volatile interest rate environment, a discussion is held with the management on the positioning of the investment portfolio as well as the sensitivity of the portfolio to interest rate movements.
- **Operational risk:** Instances of fraud, the amount involved in such frauds, and corrective actions taken to strengthen the system are discussed.
- **Extent of regulatory forbearance availed:** Frequent instances of availing regulatory forbearance (such as provisioning of certain expenses over longer periods) are considered unfavourably while assessing a bank.

[Indicative Metrics⁴]

	Strongly Positioned	Weakly Positioned
Market share in total assets	≥ 2.0%	≤ 0.3%
Management profile	Factors like ability to give proper guidance, consistency in commentary, any board-level governance issues and such other things are taken into consideration	
Risk management system	Factors like slippage rate compared to the industry, instances of availing regulatory forbearance are considered	
Level of disclosures	Detailed public disclosures, earnings update with wide participation	No public disclosures beyond statutory disclosures

Financial Risk Assessment

Financial performance analysis is one of the key elements for comparing a bank's performance over a time period and across its peer group. ICRA conducts a detailed financial analysis of the banks being rated on the parameters given below.

Asset quality

A bank's asset quality reflects its risk appetite, the depth of its franchise and the effectiveness of its management, reporting and risk management. The asset quality can affect the earnings (higher NPAs could dilute the yields and necessitate higher credit provisions) and capital (lower earnings could slow down internal capital generation or, in extreme situations (loss), could weaken the capital or impact the bank's ability to raise capital from external investors). Asset quality evaluation includes the bank's loan book as well as its non-statutory liquidity ratio (SLR) investment portfolio. The key aspects of asset quality evaluation are discussed below:

- **Quality of exposures:** ICRA assesses the quality of the corporate/wholesale loan exposures basis the external ratings of these exposures and the credit rating. For granular loan exposures, ICRA can rely on factors (to the extent data is available) like the distribution of the credit bureau scores or the days past due (dpd) levels of the portfolio or the slippage rates in

³ Includes performing exposure, but classified as overdue or standard restructured advances or exposures that are rated in the non-investment grade or which would have seen sharp rating downgrades, especially to the non-investment grade

⁴ The indicative financial metrics mentioned here and elsewhere in the document are intended to provide a broad overview to the readers regarding what ICRA generally considers as 'relatively strong' or 'relatively weak' metrics. It is, however, possible that an entity has relatively weaker metrics on one or more parameters, but its credit risk is assessed to be low because of other mitigating factors, including (but not limited to) stronger metrics on other parameters

the portfolio. The NPA levels across various segments and at the overall bank level or the movement of overdue accounts are analysed to gauge the quality of the exposures.

- **Portfolio diversification:** The extent of diversification is also an important indicator of a bank's asset quality. Some of the factors that are evaluated to assess diversification include the loan mix, portfolio granularity, sectoral mix, geographical diversification, and the share of domestic and overseas exposures. The bank's exposure to the top borrowers and groups is analysed to gauge the extent of its credit concentration. Diversification can shield a bank from the impact of a downturn in any one segment/industry. At the same time, diversification into riskier segments may not improve resilience and may, therefore, not translate into an improvement in the credit profile. Some of the key measures of diversification/concentration are:
 - a) Share of top/top group exposures in total exposures
 - b) Top/top group exposures as a percentage of Common Equity Tier I (CET I) capital
 - c) Top industries as a percentage of total exposures
 - d) Top geographies as a percentage of total exposures, wherever relevant
- **Secured vs unsecured:** The share of secured and unsecured exposures in the overall portfolio helps determine the provisioning levels and the expected loss in case of defaults.
- **Asset classification and provisioning:** Advances are classified into standard, standard restructured and NPAs. ICRA examines the provisioning cover on these loans and the regulatory requirements or the industry average versus the provisions made by the bank⁵. The purpose is to estimate further provisioning requirements that could eventually affect the bank's bottom line and financial position.
- **Growth rate of advances/exposures:** ICRA monitors the growth in the advances/exposures of the bank compared to the industry average and in relation to its base. The quality of the incremental borrowers or segments driving the growth is evaluated for incremental increase in risk, if any. Higher growth in risky segments is considered a credit negative.
- **Movement in RWAs:** Risk-weighted assets (RWAs) are an outcome of credit exposure, investment exposure and operational risks, with credit exposure forming a major portion of the same. RWAs, in relation to advances/exposures, are compared to peers and the reasons for the sharp movements in the RWAs in relation to advances/exposures are discussed. Generally, lower RWAs/advances reflects a mix of better-quality advances in the loan book.

Some of the key financial indicators for the assessment of the asset quality of a bank are as under:

Assessment of asset quality

[Indicative Metrics]

	Strongly Positioned	Weakly Positioned
% Gross NPA	≤2%	≥6%
% Net NPA	≤0.7%	≥3.3%
Advances growth over sector average CAGR for 3 yrs	≥+6%^	≤-2%
Fresh slippage rate (annualised)	≤1%	≥4%
Top 20 group exposures as a percentage of total exposures	≤8%	≥16%

[^] Growth higher than 20% over the sector average is negatively assessed; CAGR – Compound annual growth rate

ICRA identifies the exposures that can slip in the near-to-medium term, based on their overdue status or their external credit ratings, and then projects the impact of the same on the bank's earnings and capital under base case and worst-case scenarios of slippages and provisioning levels. The existing financials are used in conjunction with the projected financials to arrive at the view on the credit quality of the institution.

⁵ Same criterion is applied to the investment book

Diversity in funding and liquidity

ICRA analyses the funding profile of the bank in terms of the sources and mix of funds as well as the cost of funds to the bank along the following lines:

Deposit mix: Current and savings accounts (CASA) are generally low-cost deposits. As CASA deposits tend to be sticky, a bank may see an improving CASA deposit ratio in a scenario of a decline in the overall deposit base. Hence, the CASA ratio is seen in conjunction with the absolute growth in the CASA deposit levels vis-à-vis the industry average.

Other sources of deposits like certificates of deposit (CDs) and bulk deposits from corporate and institutional depositors are typically more volatile than retail and household deposits. A higher portion of retail deposits also lends stability to earnings as the cost of such deposits tends to be less volatile than bulk deposits. Thus, higher retail deposits in the total mix is viewed positively. With the deregulation of interest rates on SAs, some banks have been able to improve their CASA balances by offering higher interest rates on savings deposits. Such deposits may exhibit relatively higher volatility in terms of flow compared to normal SA deposits as these depositors may not be the bank's core depositors. Accordingly, high CASA balances are seen in relation to the deposit rates offered.

Banks are also entitled to avail long-term refinance against their eligible loan portfolios from AIFIs. The availability of such loan portfolios in the overall asset mix enhances the funding ability of the institution and adds diversity and stability to the funding.

Although AIFIs do not raise deposits from the public at large, given their quasi-sovereign status, they are able to raise funds from wholesale markets at competitive rates. While wholesale funding markets may be volatile in terms of pricing and quantum of funds, AIFIs have demonstrated fund-raising abilities even during volatile market conditions as they are typically preferred by investors in such situations. Further, these funds are non-callable and some AIFIs receive funding by way of deposits from other banks as these banks fail to meet their PSL targets. Such deposits are allocated by the Government of India (GoI)/RBI to various AIFIs and form a sizeable part of their overall liabilities. Such funding also imparts a superior funding profile to AIFIs as the same is driven by regulatory allocations at a lower cost.

Deposit rate comparison with peers: A bank could offer higher deposit rates vis-à-vis peers either in a scenario where its liability franchise is not able to deliver a growth matching the growth of its assets or the deposit franchise itself is weak and a higher deposit rate proposition is the only tool to attract depositors. In such scenarios, the quality of the deposits may be less stable and could adversely impact the liquidity of the bank in times of stress. Further, with a higher cost of funds, the bank may be required to take additional exposure to risky assets to generate sufficient return on equity for its shareholders.

- **Cost of interest-bearing funds:** The cost of interest-bearing funds is determined by the mix of deposits (current, savings and time deposits) and other borrowings of the bank. The tenure of the deposits and the bank's franchise/market standing influence the interest rate structure for its deposits and borrowings. Other factors include the bank's reliance on bulk deposits, money market funding (from call money markets and CDs), and the current and expected money market conditions. The cost of funds is compared with the industry averages and a lower cost of funds in relation to the averages is seen positively.

Assessment of funding

[Indicative Metrics]

	Strongly Positioned	Weakly Positioned
Market share in bank deposits	≥ 2.0%	≤ 0.3%
CASA deposit level	≥ 45%	≤ 30%
Cost of interest-bearing funds vs sector average	≤ -0.5%	≥ +0.5%
CASA deposits growth over sector average CAGR for 3 yrs	≥ +6%	≤ -2%
Top 20 depositors as a percentage of total deposits	≤ 8%	≥ 16%

Overall, a strong deposit base, which is granular, stable and low cost in nature, is a reflection of the bank's deposit franchise and is an outcome not only of its branch network but also of its customer service, level of trust with the depositors, competitive

pricing and brand image. Sustained effort on these fronts is critical for maintaining the competitive advantage in generating better returns, without needing to operate in risky assets, and for preserving long-term liquidity.

ICRA attempts to capture the liquidity of a bank by analysing the following qualitative and quantitative parameters:

- **Bank's SLS:** ICRA evaluates the structural liquidity statement (SLS) of the bank (often across time periods) to analyse the overall mismatches between the maturity profile of its assets and liabilities across various time buckets. Banks with a longer asset maturity profile will require longer-tenure liabilities to reduce the maturity gaps.
- **LCR⁶:** Banks are required to maintain a liquidity coverage ratio (LCR) in accordance with the RBI's guidelines. The LCR is a measure of the short-term resilience of banks to potential liquidity disruptions by ensuring that they have sufficient high-quality liquid assets (HQLAs) to survive an acute stress scenario lasting for 30 days. The trends in a bank's LCR are analysed for comfort on the liquidity position.
- **NSFR⁷:** The net stable funding ratio (NSFR) is a measure of the resilience of banks to potential funding disruptions over the next one year by requiring banks to fund their activities with more stable sources of funding on an ongoing basis.
- **Credit-to-deposit ratio:** The credit-to-deposit ratio is adjusted to include the net worth in the denominator. An adjusted credit-to-deposit ratio with an increasing trend is a reflection of the credit growth outpacing the deposit growth and the consumption of on-balance sheet liquidity (in the form of excess SLR investments) for credit growth. Hence, a high adjusted credit-to-deposit ratio reflects limited on-balance sheet liquid assets in the form of excess SLR investments, whereas a low credit-to-deposit ratio may be an outcome of the inability to lend because of capital constraints or otherwise.

Assessment of liquidity

[Indicative Metrics]

	Strongly Positioned	Weakly Positioned
Liquidity coverage ratio	≥ 120%	≤ 100%
Net stable funding ratio	≥ 120%	≤ 100%
Credit-to-deposit ratio (incl. net worth)	75%	90%

Profitability, earnings stability and prospects

A bank's ability to generate adequate returns is important from the perspective of its shareholders as well as debtholders. Adequate operating profitability helps in absorbing credit costs and other losses emanating from the various risks that a bank is exposed to. The bank's historical performance is analysed for the stability and quality of earnings. The goal is to assess the level of the bank's future earnings and the quality/volatility of the earnings by analysing its interest spreads, fee income, operating expenses and credit costs.

The future profitability of a bank is evaluated by analysing its interest spreads (yields on various assets minus cost of funds) and the likely trajectory of the same in light of the changes in its operating environment, its liquidity position, its status on PSL requirements, the loan mix and its overall strategy. Most banks usually have floating assets and liabilities, thereby reducing the interest rate risk to a large extent. However, an entity with a sizeable share of fixed rate assets or liabilities may also be exposed to interest rate risk, especially in a volatile interest rate environment.

A bank failing to meet its PSL requirements is required to invest in priority sector lending certificates (PSLCs) issued by other banks or in Rural Infrastructure Development Fund (RIDF) deposits at much lower yields. ICRA also assesses the bank's ability to complement its interest income with fee income. A large fee income allows greater diversification, which can improve the

⁶ Stock of HQLA as a percentage of total net cash outflow over the next 30 days; as per regulatory requirements, banks need to achieve 100% LCR from January 1, 2019

⁷ NSFR is defined as the amount of available stable funding (ASF) relative to the amount of required stable funding (RSF). ASF is defined as the portion of capital and liabilities expected to be reliable over the next one year. The amount of RSF by an institution is a function of the liquidity characteristics and residual maturities of the various assets held by that institution as well as those of its off-balance sheet (OBS) exposures. Banks need to maintain 100% NSFR from October 1, 2021

stability of the bank's earnings. The sustainability of income is an important parameter and any one-off income like gain on the sale of investments is, therefore, factored into ICRA's assessment as a part of the non-core operating profit.

After assessing the operating income stream, ICRA evaluates the bank's operating efficiency (operating expenses in relation to total assets and cost-to-income ratio) and compares the same with that of its peers. Credit costs are estimated based on various scenarios for the asset quality and the management's guidance for the target provision cover against NPAs or the net NPA level. The operating profit should be sufficient to absorb credit losses. Importantly, a very high return on equity may not necessarily translate into a high credit rating as the underlying risk could be significant or the leverage could be excessive.

Assessment of profitability

[Indicative Metrics]

	Strongly Positioned	Weakly Positioned
Net interest margin as percentage of average total assets (ATA)	≥ 3.5%	≤ 2.5%
Core operating profit (pre-provisioning)/ATA	≥ 3.0%	≤ 2.0%
Return on risk-weighted assets (RoRWA)	≥ 1.8%	≤ 0.8%
Prov. coverage ratio excl. write-offs	≥ 67%	≤ 45%
Operating income growth	≥ 20%	≤ 6%
Core fee income/Total income	≥ 30%	≤ 15%

High operating profitability acts as a cushion for the bank to absorb credit losses and measures its ability to generate satisfactory risk-adjusted returns, while translating into the ability to generate growth capital internally with limited dependence on shareholders for growth requirements. Better profitability also enhances the equity multiples as well as the ability to raise capital. ICRA notes that AIFIs may, however, be constrained in generating superior profitability metrics, given their developmental role in the financial markets. This is not necessarily a reflection of their weak operational profile.

Capital adequacy and management

Capital provides the second level of protection to debtholders (earnings being the first). Thus, its quality and adequacy (in relation to the underlying credit, market, and operational risks) are important considerations for the ratings. While evaluating the bank's capital in relation to the risks in its business, ICRA focuses on the following aspects:

- **Cushion over regulatory capital requirement:** As per the RBI's [Basel III guidelines](#) (currently applicable to scheduled commercial banks and AIFIs excluding SFBs, RRBs and payments banks), the capital cushions are assessed for the capital position based on the criteria discussed below. Banks are required to achieve and maintain capitalisation ratios as mentioned below:

Regulatory capital requirements under Basel III as a percentage of RWAs

	Mar 31, 2016	Mar 31, 2017	Mar 31, 2018	Mar 31, 2019	Oct 1, 2021 ⁸
Minimum CET I	5.50%	5.50%	5.50%	5.50%	5.50%
Capital conservation buffer (CCB)	0.625%	1.25%	1.875%	1.875%	2.50%
Minimum CET I + CCB	6.125%	6.75%	7.375%	7.375%	8.00%
Minimum Tier I	7.00%	7.00%	7.00%	7.00%	7.00%
Minimum Tier I capital + CCB	7.625%	8.25%	8.875%	8.875%	9.50%
Minimum total capital (CAR)	9.00%	9.00%	9.00%	9.00%	9.00%
Minimum total capital + CCB	9.625%	10.25%	10.875%	10.875%	11.50%

⁸ The peak regulatory capital requirement was proposed to be implemented by March 31, 2019; however, in December 2018, the RBI had deferred the scheduled hike in the CCB for March 2019 by one year to March 2020 and it was further deferred in March 2020 by six months to September 30, 2020. Subsequently, in September 2020, the RBI deferred it to April 1, 2021 and it was again deferred in February 2021 by six months to October 1, 2021

Source: RBI, ICRA Research

ICRA also assesses the capital cushion available over and above the regulatory requirement and the management's stance on maintaining the same.

- **Adequacy and sustainability of capital:** Besides evaluating the bank's conformance to the regulatory capital requirements, ICRA assesses the adequacy of the capital in relation to its growth plans, its internal capital generation, its present and prospective asset quality, which may impact the capitalisation, and its risk appetite. Based on this, the bank's medium-term capital requirement is estimated. A stress analysis is done at various growth levels and potential asset stress scenarios are evaluated to estimate internal capital generation and capital requirements, if any.
- **Ability to raise capital:** The bank's capital cushions can be enhanced by internal capital generation or by raising fresh equity capital or hybrid instruments. ICRA evaluates the bank's internal capital generating capacity and its ability and flexibility to augment the capital to support growth or withstand stress. For public sector banks (PSBs)/AIFIs, the capital support announced by the GoI for the sector is an important aspect. Also, considering that the GoI's shareholding is required to be at least 51%, the bank's ability to meet its capital requirement without any dependence on the GoI is analysed.

For private sector banks (PVBs), the ability to meet the capital requirements from the markets is analysed. This is typically measured by assessing the extent of capital requirement in relation to the bank's current market capitalisation. A high level of capital requirement in relation to the market capitalisation can pose a challenge in raising capital. Generally, a low price-to-book value or a weak track record of shareholder returns can weigh on the bank's capital-raising ability. A bank can also look at other options such as the divestment of non-core investments and reduction of RWAs to meet its capital requirements.

- **Additional Tier 1 (AT1) instruments** under Basel III (or Basel III-Tier I) are debt capital instruments with loss-absorption features and comprise the Tier I capital of banks under Basel III regulations. Due to the loss-absorption features of these instruments and the restriction on coupon payments, which are allowed either from the current year's profits or the reserves created through the appropriation of profits, the bank's profitability, distributable reserves and capitalisation profile determine the attractiveness of these bonds to investors. Weak performance on these parameters may constrain the bank's ability to raise AT1 bonds, which means it has to meet the Tier I capital requirements through CET I. Hence, there would be a higher need for raising core capital.
- **Quality of capital:** A higher percentage of core Tier I capital (more specifically CET I capital) is viewed more favourably, given its greater permanence. ICRA also analyses any other potential sources of flexibility (such as unrealised gains on the investment book, revaluation reserves on fixed assets), which may help boost the capital.
- **Solvency profile:** This is calculated as the extent of the bank's net NPAs in relation to its tangible net worth or CET I. It measures the capital coverage for the unprovided portion of the bank's NPAs. For banks with meaningfully high levels of net non-performing investments (net NPIs) or net security receipts (net SRs) issued by asset reconstruction companies (ARCs), the solvency profile is measured by considering these in conjunction with the net NPAs in relation to the CET I.
- **Leverage ratio:** The leverage ratio is defined as Total Tier I capital/Total exposure. Total exposure includes on-balance sheet and off-balance sheet exposures adjusted for credit conversion factors. The minimum leverage ratio is 4.0% for domestic systemically important banks (D-SIBs) and 3.5% for other banks as permitted by the RBI. Thus, banks operating at a leverage ratio above the minimum requirement indicates the availability of more capital against exposures. Hence, a higher ratio is better from a credit perspective.
- **Performance of subsidiaries:** ICRA assesses the risk of financial support, which may need to be extended by the bank to its subsidiaries. The support requirement may be driven by the legal or the publicly perceived moral obligation of a parent to support a subsidiary. While weak-performing subsidiaries may be a drag on a bank's financial position, well-performing subsidiaries or investments can provide a cushion to a bank's profitability in events of stress. The capital requirements of the subsidiaries, either for growth or in a stress situation, are factored in while taking a forward-looking view on the entity.

Assessment of capitalisation

[Indicative Metrics]

	Strongly Positioned	Weakly Positioned
CET I or core capital (Rs. crore)	≥ 60,000	≤ 5,000
Net NPA / CET I	≤ 10%	≥ 40%
CET I (%) cushion above regulatory level	≥ 5.0%	≤ 1.0%
Tier I (%) cushion above regulatory level	≥ 5.0%	≤ 1.0%
CAR (%) cushion above regulatory level	≥ 5.0%	≤ 1.0%
Ability to raise capital		
Price/Book value	≥ 2.0	≤ 0.9
Price/Earnings	≥ 15	≤ 9
RoE	≥ 15%	≤ 9%
Tier I requirement over next 1 year as a percentage of market capitalisation	≤ 0%	≥ 25%
Leverage (Tier I capital/Total exposure)	≥ 8.0%	≤ 4.0%

Promoter Support and Financial Flexibility

Over and above the standalone credit considerations, the likelihood of extraordinary support from the parent is factored in while assessing the entity's credit profile. This process involves the assessment of the ability and willingness of the parent to extend support in times of distress in addition to the evaluation of the entity's own fundamental credit strength.

The Indian banking system consists of PSBs, PVBs, co-operative banks, RRBs, SFBs, payments banks and subsidiaries/branches of foreign banks. While ICRA draws comfort from the sovereign ownership of PSBs, the bank's ability to raise capital from promoters/other key shareholders, as and when required, is an important credit driver. A PSB with GoI shareholding well in excess of 51% is viewed positively by ICRA as it would have greater flexibility in raising capital by diluting the GoI shareholding.

For RRBs, there are specified shareholding requirements from the GoI, the state government and the sponsor bank (typically a PSB). Hence, capital raising is dependent on the ability of all the shareholders to put in their requisite share of capital.

Certain PVBs and SFBs could be required to maintain minimum promoter shareholding for a certain period or dilute the promoter shareholding to the agreed levels, as per the roadmap for receiving approval from the RBI for a banking licence. Hence, the entity's ability to raise capital, if required, could be driven by these shareholding norms.

Foreign banks have been operating in India as a subsidiary of a foreign bank/financial institution or as branches of the bank itself. As the branches of foreign banks are an integral part of the entity incorporated overseas, ICRA's opinion on their ratings is largely driven by the global balance sheet of the foreign bank itself. Funding support from the head office, by way of liquidity or capital to meet the local requirement, and the importance and oversight of the bank on its Indian branches are additional points analysed while rating these banks. For foreign banks that are operating domestically through a subsidiary model, ICRA assesses the standalone credit profile basis this methodology document and may notch up the standalone rating based on the [rating approach to factor in the implicit support from the parent or the Group](#).

Apart from ownership, the bank's importance in the domestic financial system has a bearing on the possibility of Government support in times of financial stress. However, such support has remained limited for private institutions in the past. In addition to the balance sheet size, proxies for a bank's systemic importance could include the share of business in the region of operations, participation in payment systems and the scale of quasi-fiscal responsibilities (such as directed lending) carried out for the Government.

Assessment of ESG Risks

ICRA's assessment of environmental, social and governance (ESG) risks involves a broad range of considerations that pertain to the sustainability of a bank with focus on aspects that can have a material impact on its credit quality. While the E&S risks tend to be sector-related as well as entity-specific and could be driven by external factors such as regulations or demographic changes, the G risks are largely entity-driven. The impact of the E&S risks on an entity's credit profile tends to be asymmetric. If the ESG risks are material but unmitigated, these generally pull down the rating, but the ratings are usually not pushed up even when the ESG context is favourable.

Environmental and social risks

While undertaking the credit assessment of banks and financial institutions, ICRA seeks to incorporate all relevant credit considerations into its rating decisions along with taking a forward-looking view on the risks and mitigants. The relevant credit considerations include (sometimes overtly and sometimes covertly) the E&S factors that could affect the rated entity/transaction. While ICRA's analytical approach does not explicitly disaggregate these risks to assess their impact on the rating, these risks are often assessed broadly. Further, it is not always feasible to fully or precisely disaggregate the sub-components of E&S risks in credit analysis since these considerations often tend to overlap.

While evaluating the E&S risks, ICRA's objective is to assess the direct and indirect risks faced by a bank or a financial institution and how it already is or is intending to mitigate the impact of such risks on its credit profile. While banks and financial institutions do not face material physical climate risks, they are exposed to environmental risks indirectly through their portfolio of assets. If the entities or businesses, to which banks and financial institutions have exposure, face business disruptions because of physical climate adversities or if such businesses face climate transition risks because of technological, regulatory or customer behaviour changes, the same could translate into credit risks for the rated banks and financial institutions. However, such risk is unlikely to be material because banks and financial institutions typically benefit from portfolio diversification. Further, the lending is usually for short-to-medium-term tenures, which would allow banks and financial institutions to adapt while taking incremental exposures on less environmentally vulnerable businesses.

With regard to social risks, data security and customer privacy are among the key sources of vulnerability for banks and financial institutions as material lapses could be detrimental to their reputation and could invite regulatory censure. ICRA evaluates the disclosures made by banks and financial institutions outlining the key policies, processes, and investments made to control the occurrence of such instances. Mis-selling and other types of misconduct are other social risks that could result in fines and reputational harm. Customer preference is increasingly shifting towards digital banking, providing an opportunity to reduce operating costs. However, the possibility of subpar execution of the information technology strategy and the consequent inability to adequately meet customer needs could result in costs than benefits. On the positive side, the financial services sector contributes to enhancing financial inclusion. Prudent lending to such underserved segments could create growth opportunities. Overall, societal trends are seen to have a mostly modest impact on the credit quality of banks and financial institutions.

Governance risks

A sound corporate governance structure attempts to clarify the distinction of power and responsibilities between the board of directors and the management. The constitution of an entity's board and the entity's adherence to legal and statutory compliance requirements are considered during the credit assessment. ICRA seeks to gain a qualitative understanding of the entity's commitment to following transparent and credible practices from the way its financial statements are reported, the level of disclosures, consistency in communication and openness about sharing information during the credit rating exercise. Besides the corporate group structure (whether simple or complex), the rated entity's related-party transactions and instances of supporting group entities at the expense of debtholders are assessed. The board of directors of PSBs, in which the GoI has majority ownership, could largely be appointed by the GoI. Therefore, the regulator could have limited control over PSBs compared to PVBs. The multiple objectives of the GoI as the owner of PSBs and the complex principal-agent relationship cannot be wished away where PSBs are concerned.

Summing Up

ICRA's credit ratings are a symbolic representation of its opinion on the relative credit risk associated with the bank/AIFI and the instruments being rated. ICRA arrives at this opinion by conducting a detailed evaluation of the bank's business and financial risks and using the evaluation to project its future financial performance in various scenarios. While several parameters are used to assess a bank's risk profile, the relative importance of each of these qualitative and quantitative parameters can vary across banks depending on its potential to change the overall risk profile of the bank concerned.

Guidelines for Rating Various Capital Instruments

Basel II instruments

Prior to the RBI's January 2006 announcement of the guidelines for the use of new instruments for capital raising by banks, apart from internal generation, the only options available to Indian banks to shore up their capital were equity issues and subordinated debt. Detailed [guidelines were issued in January 2006](#) for the raising of capital via the following capital instruments:

- Innovative capital instruments for inclusion in Tier I or innovative perpetual debt instruments (IPDI; referred to as Basel II-Tier I in this note)
- Hybrid debt instruments for inclusion in Tier II (referred to as Basel II-Upper Tier II in this note)

A comparison between the Basel II-Lower Tier II instruments and the new instruments, Basel II-Tier I and Basel II-Upper Tier II, has been presented below. The rating for Basel II-Lower Tier II instruments is equated to the base rating or the rating of the senior-most debt instrument of the bank due to the following reasons:

- Basel II-Lower Tier II instruments are free from the deferral clauses for debt servicing, i.e. even if the capital adequacy is below the regulatory minimum or losses have been incurred, banks do not face any constraint in servicing the conventional instruments. In India and most other markets, banks are observed to be more willing to avoid defaults (in most cases, systemic support is also extended by sovereign authorities) to prevent reputational risk (or even systemic instability).
- There is not much difference in the superiority of claims between senior unsecured debt and Basel II-Lower Tier II. Hence, these instruments are rated at par with the issuer rating of the bank.
- Lower Tier II issuances are of a relatively shorter-term maturity (usually 10 years) in comparison to Basel II-Tier I (perpetual) and Basel II-Upper Tier II (15 years), implying that these are less permanent forms of capital.

While these instruments have been phased out for scheduled commercial banks required to follow Basel III, they can be issued by banks like SFBs, RRBs, etc, which have not transitioned to Basel III.

Key differentiating factors: Rating implications

Exhibit 1: Comparison of regulatory features of Basel II capital instruments

Key Features Impacting	Basel II-Tier I	Basel II-Upper Tier II	Basel II-Lower Tier II	Rating Implications
Right to defer payments	The issuer is not liable to pay interest if the capital-to-risk weighted assets ratio {CRAR or capital adequacy ratio (CAR)} falls/is likely to fall below the minimum regulatory requirement. In the event of a loss, the coupon payment is subject to RBI approval, provided that upon the payment of the coupon, the CRAR remains above the regulatory threshold Similarly, the principal redemption on call option dates is subject to the CRAR being above the regulatory levels Interest, if not paid, cannot be accumulated	The issuer is not liable to pay either the interest or the principal if the CRAR falls/is likely to fall below the minimum regulatory requirement However, the servicing of the interest and principal is possible, subject to RBI approval, in a loss situation provided the regulatory requirement for the CRAR is met Interest can be accumulated and paid once the conditions are met	No such restriction	Although the deferral of interest is allowed according to the terms of the issue, non-payment would mean economic loss to the investor(s) and would, therefore, be construed as a default by ICRA on such instrument Besides the traditional causes of default⁹, the Basel II-Tier I and Basel II-Upper Tier II bonds have an additional trigger, which is a decline in the CRAR below the regulatory minimum of 9%. The trigger arises from the restrictions imposed by the lock-in clause (right to defer payments). The probability of default on these capital instruments is, therefore, higher than that on the Lower Tier II instruments. Thus, even though the regulatory norm on the CRAR was breached by some banks in the past, there was no instance of default on their traditional debt including Basel II-Lower Tier II. However, this is not the case with Basel II-Tier I and Basel II-Upper Tier II bonds, and the capital-adequacy-linked deferral trigger has led to default on such instruments in the past. As a result, ICRA assigns a rating to the Basel II-Lower Tier II bonds, which is similar to the senior rating or the issuer rating for the bank However, given the higher probability of default for the Basel II-Tier I and Basel II-Upper Tier II bonds, ICRA notches down the credit ratings of these instruments from the level assigned to Basel II-Lower Tier II, which does not have any capital-adequacy-linked default triggers For rating the Basel II-Tier I and Basel II-Upper Tier II bonds, the extent of capital cushions maintained by the bank over the regulatory levels becomes the notching criterion from the senior ratings, i.e. Basel II-Lower Tier II bonds or infrastructure bonds
Nature of interest	Non-cumulative interest	Cumulative interest	No such restriction	Although the loss given default in case of Basel II-Tier I is likely to be higher¹⁰ versus Basel II-Upper Tier II because of the differences in the nature of interest, ICRA generally¹¹ does not make any rating distinction between the two. This is because ICRA's ratings primarily reflect the probability of default and not the loss given default

Source: RBI, ICRA Research

⁹ Such as loss on account of asset quality impairment or mark-to-market (MTM) losses, inability to refinance or asset-liability mismatches

¹⁰ On account of the non-cumulative nature of interest, as any missed interest repayments would tantamount to a permanent loss for the investor; however, in the case of Upper Tier II, interest can be accumulated and is, therefore, subject to potentially lower losses

¹¹ This is typically seen in a stress situation, when the regulator imposes a moratorium on payouts by the bank

Superiority of claims

Exhibit 2: Comparison between instruments on the parameter of superiority of claims

Key features impacting	Basel II-Tier I	Basel II-Upper Tier II	Basel II-Lower Tier II	Implications
Severity of loss	Superior to claims of investors in equity shares	Superior to claims of investors in equity shares and investors in instruments eligible for Tier I	Superior to claims of investors in equity shares and investors in instruments eligible for Tier I and Basel II-Upper Tier II	The superiority of claims makes the loss-absorption capacity offered by Basel II-Tier I and Basel II-Upper Tier II bonds relatively higher compared to traditional debt This could make the probability of default higher for Basel II-Tier I vis-à-vis Basel II-Upper Tier II (higher than Lower Tier II for both). However, the clause would have credit implications primarily at the stage of liquidation – a relatively low possibility for higher-rated issuers. Therefore, although Basel II-Tier I is inferior to Basel II-Upper Tier II in the priority of claims, this feature may not lead to the notching of Basel II-Tier I to below Basel II-Upper Tier II for the higher rating categories as the possibility of liquidation is rather remote for better-rated issuers

Source: RBI, ICRA Research

Basel III instruments

The RBI guidelines on Basel III Capital Regulations raised the minimum core Tier I capital to be maintained by banks to 8.0% from 3.6% (under Basel II), especially because non-maintenance of the capital conservation buffer (CCB) is a criterion for inclusion in the RBI's [prompt corrective action \(PCA\) framework](#). The overall capital adequacy was raised to 11.5% from 9.0%. Further, if countercyclical capital buffers (CCCBs) are introduced at the highest levels, the common equity requirement could be higher at 10.5% while the overall capital adequacy requirement would be as high as 14%.

Exhibit 3: Tier I capital requirements significantly higher under Basel III

RBI norms under	Basel II	Basel III*
Minimum CET I ratio	3.6%	5.5%
Capital conservation buffer (CCB; consisting of CET I)	Nil	2.5%
Minimum CET I ratio (including CCB)	3.6%	8.0%
Additional Tier I capital	2.4%	1.5%
Minimum Tier I capital (including CCB)	6.0%	9.5%
Tier II capital	3.0%	2.0%
Minimum total capital ratio (including CCB)	9.0%	11.5%
Additional CCCBs to be maintained in the form of CET I	Nil	0-2.5%

* Applicable from October 1, 2021

Source: RBI, ICRA Research

The RBI guidelines on Basel III introduce stringent loss-absorption clauses for hybrid instruments so that loss absorption kicks in before the public injection of funds. While both Tier I and Tier II instruments have significant loss-absorption features, Tier I instruments are meant to absorb losses on a going-concern basis, which means the loss-absorption trigger kicks in early. The high loss-absorption features of Tier I are likely to bail out depositors as well as investors in Tier II instruments well ahead of stress. The triggers for the Tier II instruments, which also have loss-absorption features, are meant to be invoked at the point of non-viability (PONV)¹², and are, therefore, likely to protect depositors and senior lenders on a gone-concern basis.

¹² The PONV trigger event is the earlier of:

- A decision that a conversion or write-off, without which the firm would become non-viable[^], is necessary, as determined by the RBI
- The decision to make a public sector injection of capital or provide equivalent support, without which the firm would have become non-viable, as determined by the relevant authority

[^] Under Basel III regulations, a non-viable bank is defined as a bank which, owing to its financial and other difficulties, may no longer remain a going concern on its own, in the RBI's opinion, unless appropriate measures are taken to revive its operations and enable it to continue as a going concern. The difficulties faced by the bank should be such that these are likely to result in financial losses and raising its CET I capital should be considered as the most appropriate way of preventing it from becoming non-viable. Such measures would include write-off/conversion of non-equity regulatory capital into common shares in combination with or without other measures as considered appropriate by the RBI

ICRA's approach to rating Basel III-compliant Tier II instruments

The key features of Tier II capital instruments under Basel II and III and their implications for the probability of default and severity of loss are presented in Exhibit 4.

Exhibit 4: Key features of Tier II instruments under Basel II and Basel III and implications for probability of default and severity of loss

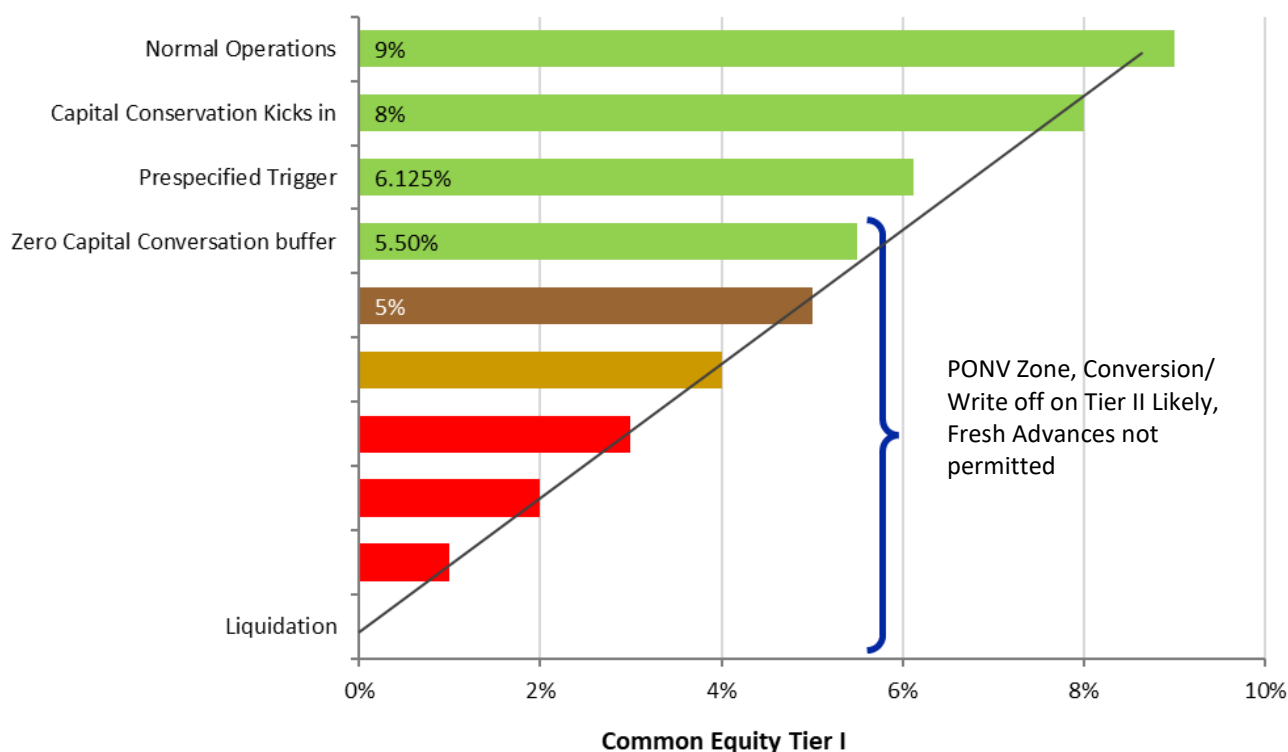
Key features impacting	Basel II-Lower Tier II	Basel II-Upper Tier II	Basel III-Tier II	Implications
Probability of default	No constraint for coupon or redemption; however, subordinated to depositors on liquidation	The bank shall not be liable to pay interest if its CRAR is below the minimum regulatory requirement or interest payment leads to a decline in its CRAR to below the minimum regulatory requirement In the event of loss, the coupon payment is subject to RBI approval, provided that upon the payment of the coupon, the CRAR remains above the regulatory threshold Similarly, the principal redemption on call option dates is subject to the CRAR being above the regulatory level However, the bank may pay interest with prior RBI approval when the impact of such payment may result in a net loss or increase the net loss, provided the CRAR remains above the regulatory norm	No constraint for coupon or redemption until the occurrence of PONV Upon invocation of PONV, at the option of the RBI, bonds may either be written off (partially or completely) or converted into common equity	The probability of default for Basel III-Tier II bonds is higher than that for Basel II-Lower Tier II instruments; however, it is likely to be lower than that for Basel II-Upper Tier II bonds as the probability of PONV trigger invocation is likely to be much lower than the probability of a bank breaching the capital adequacy threshold The extent of notching on Basel III-Tier II bonds may vary, depending on the likelihood of invocation of PONV. Typically, banks in a lower investment grade or non-investment grade category, which reflects either their weak asset quality or thin capital cushions or both, may be notched down on the Basel III-Tier II bonds vis-à-vis their senior rating
Severity of loss	No write-down clause until liquidation	No write-down clause until liquidation	High severity of loss upon PONV	Under Basel III, severity of loss is likely to be significantly higher as a PONV trigger could lead to write-off/conversion prior to any public sector injection of capital

Source: RBI, ICRA Research

The Basel III-Tier II bonds issued by banks are expected to provide an additional layer of protection to depositors and senior creditors. According to the Basel III guidelines issued by the RBI, Basel III-compliant Tier II bonds do not have any interest deferral clause, but are expected to absorb losses when the PONV trigger is invoked. As and when the PONV trigger is invoked, Tier II instruments, at the option of the RBI, are either to be written off or converted into common equity.

Exhibit 5: Default zone for Basel III-Tier II instruments¹³

Default Zone for Basel III Tier II



Source: RBI, ICRA Research

In the past, the GoI, as a shareholder, had provided support to PSBs to achieve growth as well as maintain financial stability. In ICRA's current assessment, it is likely that the GoI would infuse equity in PSBs well in advance so that their capital remains considerably above the PONV triggers. Further, given the GoI's stance on maintaining the regulatory capital ratios and the likely severe restrictions on banks' operations (which may hinder policy implementation) on PCA invocation, the probability of the PONV trigger getting breached appears quite low, in ICRA's opinion. Going forward, any significant change in the GoI's current stance on providing regular capital support to PSBs would be a key rating sensitivity for Basel III-Tier II instruments.

¹³ Assuming a scenario of zero CCCB, the minimum regulatory capital requirement for D-SIBs could be higher as specified by the RBI

ICRA's approach to rating Basel III-compliant AT1 instruments (or Basel III-Tier I)

The key features of Tier I capital instruments under Basel II and Basel III and their implications for probability of default and severity of loss are presented in Exhibit 6.

Exhibit 6: Key features of Tier I instruments under Basel II and III, and implications for probability of default and severity of loss

Key features impacting	Basel II-Tier I	Basel III-Tier I	Implication
Probability of default	The bank shall not be liable to pay interest if its CRAR falls below the minimum requirement or interest payment results in the CRAR falling below the minimum regulatory requirement However, the bank may pay interest with prior RBI approval when the impact of such payment may result in a net loss or an increase in the net loss, provided the CRAR remains above the regulatory norm	Basel III capital instruments, upon the occurrence of the trigger event, will have to be either permanently written off or the capital has to be converted to CET at the option of the RBI Prespecified triggers for Basel III-Tier I instruments for write-down (complete or partial) are: CET I below 6.125% of RWAs, w.e.f. October 1, 2021 Capital conservation (by restricting dividend payout, etc) to kick in once CET I (including CCB) drops below 8%. If a bank wants to make a payout in excess of the amount that the norm on capital conservation allows, it would have the option of raising capital for such excess amount Banks have full discretion at all times to cancel distribution/payments; cancellation of discretionary payments is not an 'event of default' If the bank reports a loss in the current year, the coupon on these Tier I bonds can be serviced only by dipping into the reserves created through the appropriation of profits defined as distributable items¹⁴, subject to meeting the minimum regulatory requirements for CET I, Tier I and CRAR including the additional capital requirements for D-SIBs at all times, and subject to the restrictions under the capital buffer frameworks (i.e. CCB and CCCB)	Since discretionary (coupon/dividend) payments on other Basel III-Tier I capital instruments would be restricted if the common equity (including CCB) falls below 8%, the threshold for default on Basel III-Tier I interest could be CET I of 8%. Though the deferral of coupon is not an 'event of default' as per the terms of the issue, ICRA would consider it as a default, in line with its default recognition policy Thus, the default event has shifted from breach of overall capital adequacy of 9% (under Basel II) to CET I of 8% (for non-payment of coupon) and 6.125% (for principal conversion/write-off) under Basel III Though the trigger events are not strictly comparable, the probability of breaching the Basel III CET I threshold is higher than that of breaching the CRAR under Basel II Banks can only use distributable reserves pertaining to previous years to make coupon payments on Basel III-Tier I capital instruments in years of net losses
Severity of loss	Non-cumulative coupon/dividend	Non-cumulative coupon High severity of loss upon CET I declining below the prespecified trigger levels and RBI opting for conversion of these Tier I bonds to equity or upon invocation of PONV by RBI	While Basel II provisions could have led to a permanent loss on interest/coupon payments, there was no impact on the principal. However, under Basel III, the severity of loss is likely to be significantly higher and permanent as PONV/capital breach could lead to write-off/conversion to equity capital

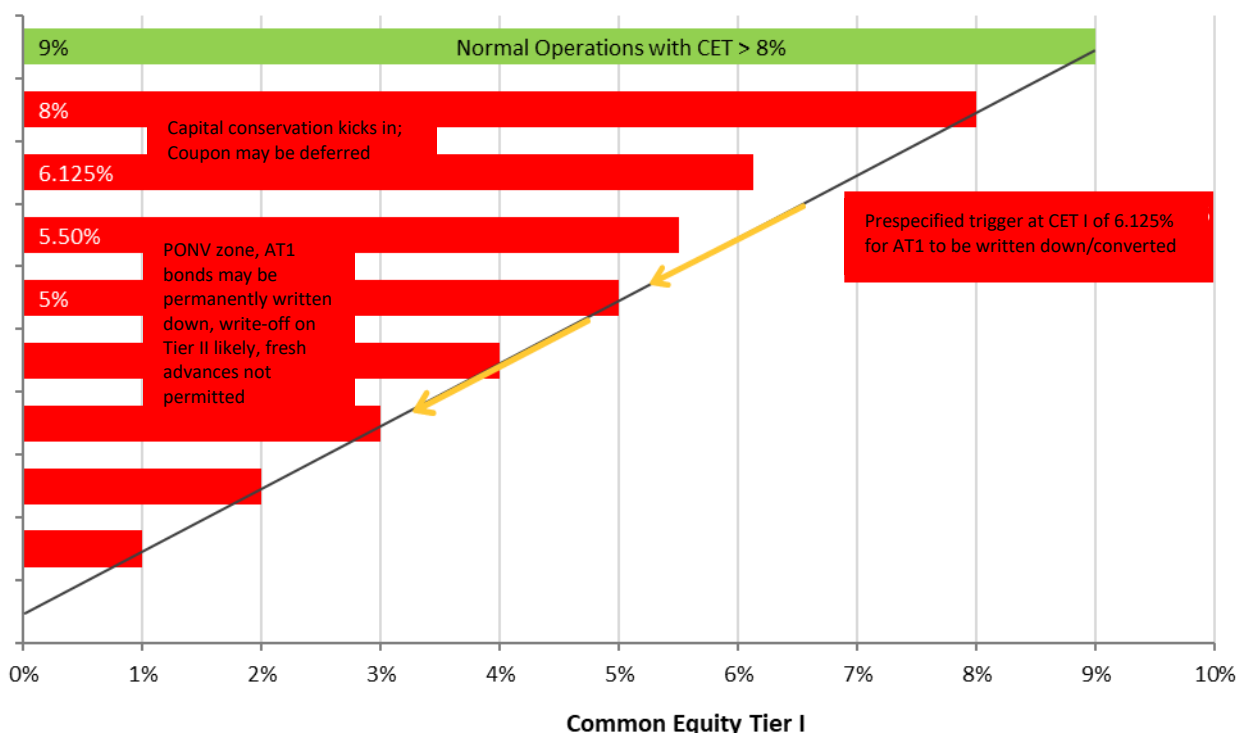
Source: RBI, ICRA Research

¹⁴ RBI circular dated February 2, 2017 has defined distributable items as: (i) profits brought forward from previous years and/or (ii) reserves representing appropriation of net profits, including statutory reserves, and excluding share premium, revaluation reserve, foreign currency translation reserve, investment reserve and reserves created on amalgamation. The accumulated losses and deferred revenue expenditure, if any, shall be netted off from (i) and (ii) to arrive at the available balances for payment of coupon

As Exhibit 6 shows, the loss-absorption capacity of Basel III-Tier I instruments is higher than that of Basel II-Tier I instruments. While there was no clause for write-off/conversion for the earlier instruments, the Basel III-Tier I instruments would have to be converted/written off even when the bank concerned is far from being unviable (with CET I of 6.125% under Basel III). Further, as seen in Exhibit 7, the trigger for 'non-payment of coupon on AT1' is a breach of the CET I criterion of 8.0% unlike the overall CRAR criterion of 9.0% under Basel II. Additionally, the provisions under PONV could translate into a permanent loss for Basel III-Tier I investors by way of write-off/conversion to equity in case of injection of public funds under PONV.

Exhibit 7: Default zone for Basel III-Tier I instruments¹⁵

Default Zone for Basel III Tier I



Source: RBI, ICRA Research

For PSBs, conventional ratings are backed by the strong likelihood of Government support. However, the restriction on coupon on the capital conservation trigger (CET I falling below 8%) or principal conversion/write-off at the prespecified common equity trigger of 6.125% could get tested ahead of equity support from the Government. Additionally, the restrictions on coupon payments from the current year's profits or through distributable reserves (in a year of loss) may pose challenges for coupon servicing by banks with weaker profitability/lower levels of distributable reserves. For such banks, even the capital infusion (either from the GoI or market sources) will not boost the level of distributable reserves, thereby increasing the possibility of skipping coupon payments on their Basel III-Tier I bonds in a year of loss. However, ICRA also notes that there have been precedents of various regulatory relaxations as well as support from the GoI to ensure that the PSBs continue to service their Basel III-Tier I bonds on an ongoing basis. Some of these instances are:

- Changes in definition of [distributable reserves](#) by RBI in February 2017
- Declaration of inclusion in PCA as a regulatory event and consequently the [early exercise of the call option](#) on the Basel III-Tier I bond by weaker PSBs in 2018
- Permitting PSBs to set off their [accumulated losses against their share premium accounts](#), which improved the level of their distributable reserves, effectively meaning that these Tier I bonds could be serviced through capital infusions

¹⁵ Assuming a scenario of zero CCCB and nil additional capital requirement for D-SIBs

The issuer ratings of PSBs factor in an uplift from their standalone credit profile based on ownership. While it could be argued that the Basel III-Tier I bonds should be notched down from the standalone credit profile of the PSBs, the ratings on these Tier I bonds will be notched down from the supported credit ratings of the PSBs, given the multiple precedents of extraordinary support.

Although larger PVBs have typically maintained better asset quality, superior and stable profitability and excess capital, the probability of a drop in the CET I level to 8% is relatively higher than the likelihood of default on conventional instruments. Considering these riskier features, ICRA would notch down the ratings for the Basel III-Tier I instruments from conventional instruments for both PSBs and PVBs. ICRA's assessment of the level of notching considers various factors, including:

- ICRA's assessment of the asset quality, past trends and the outlook for the core profitability
- Bank's level of distributable reserves
- Bank's relative ranking on its expected capitalisation levels under stress testing scenarios
- Bank's track record and philosophy on maintaining excess capital
- Bank's franchise, relative standing in the equity market, its demonstrated ability in attracting fresh equity, and the quality and diversity of its investors

The probability of reporting losses and the consequent erosion of capital and distributable reserves of banks (both public and private) with relatively higher scores on the above parameters would be much lower, and therefore, the notching of the rating could be correspondingly less. However, banks scoring relatively low on these parameters would have a relatively higher probability of reporting losses and the consequent erosion of capital and distributable reserves. Therefore, the notching of the rating in such cases could be higher.

CCB: According to the Basel III guidelines, banks are required to maintain a CCB of 2.5%, created out of the core equity (by September 30, 2021 in a phased manner¹⁶), which is above the regulatory minimum CET I requirement of 5.5%. The CCB is required to be maintained across all the regulatory capital levels, i.e. CET I, Tier I and CRAR. There are restrictions on the distribution of capital on some elements (i.e. paying dividend, coupon on Basel III-Tier I bonds, share buybacks or bonus in any form, among others) in case the conservation capital level falls below 2.5%. For instance, if the CCB falls to 2% (or CET I falls to 5.5% + 2%), the bank has to conserve 40% of its earnings¹⁷, and payouts to 'elements subjected to discretion' can be made only to the extent of 60% of the earnings.

Exhibit 8: Capital conservation after common equity drops below 8%

CET I ratio after including current period's retained earnings	Minimum capital conservation ratios (expressed as percentage of earnings)
5.5% - 6.125%	100%
>6.125% - 6.75%	80%
>6.75% - 7.375%	60%
>7.375% - 8.0%	40%
>8.0%	0%

Source: RBI, ICRA Research

However, the RBI may allow some distribution of earnings by banks that are in breach of the CCB. If a bank wants to make payments in excess of the amount that the norm for the CCB allows, it would have the option of raising capital for such excess amount with the prior permission of the RBI. Overall, restrictions on dividend distribution and bonuses during times of stress would help banks conserve internal capital.

¹⁶ CCB, as a percentage of the RWA required to be maintained, increased in phases by 0.625% every year from March 31, 2016, so as to eventually reach 2.5% by March 31, 2019. In December 2018, the CCB increase of 0.625% for FY2019 was deferred by the RBI for 1 year, i.e. to March 31, 2020; in March 2020, the RBI further deferred the scheduled hike by six months to September 30, 2020. Subsequently, in September 2020, the RBI deferred it to April 1, 2021 and it was again deferred in February 2021 by six months to October 1, 2021

¹⁷ Earnings are defined as distributable profits (before any distribution) after tax; if a bank does not have positive earnings and the CET I ratio is less than 5.5% + the applicable CCB, it should not make any distribution

In Conclusion

Instrument	Risk of Coupon Skip	When is Coupon Skipped?	Risk of Write-down/ Conversion into CET I	When is the Instrument Written Down?	Rating
Basel II-Lower Tier II	No	-	No	-	Base rating
Basel II-Upper Tier II	Yes	In case bank breaches CRAR; coupon, if not paid, is cumulative	No	-	Notched-down rating
Basel II-Lower Tier I or Basel II-Tier I or IPDI	Yes	In case bank breaches CRAR; coupon, if not paid, is non-cumulative	No	-	Notched-down rating
Basel III-Tier II	Yes	Invocation of PONV	Yes	At PONV	Base rating; however, may be notched down for banks in lower investment grade or non-investment grade category
Basel III-Tier I	Yes	In case bank breaches CET I or Tier I or CRAR (including CCB/CCCB) or it incurs losses and does not have sufficient distributable reserves to service the coupon; coupon, if not paid, is non-cumulative	Yes	At CET I < 6.125% of RWA	Notched-down rating

Source: ICRA Research

Annexure 1 – Rating Framework

Summary of rating factors and an example to illustrate the key building blocks of a credit rating for a bank/AIFI

Category	Strong			Comfortable			Adequate			Moderate			Weak	
Capital adequacy														
Resources/Funding														
Asset quality														
Management/Systems														
Earnings														
Category	Superior			Strong			Adequate			Stretched			Poor	
Liquidity														
	Enhance						Neutral				Hinder			
Does this factor enhance or hinder the credit profile?														
Final rating	AAA	AA+	AA	AA-	A+	A	A-	BBB+	BBB	BBB-	BB+	BB	BB-	B/ C category

The above graphic is only for illustration purpose and does not represent a rating output from a formulaic model. The ratings assigned by ICRA are determined by Rating Committees based on both quantitative and qualitative considerations.

Annexure 2

Key Ratios Used for Bank Analysis¹⁸

Bank Profile

Total asset base	: Scale of operations
Net worth	: Net worth as reported by the bank (excluding revaluation reserves)
Net income	: Net income as reported by the bank
Age of the bank	: Number of years the bank has been in operation

Capital Adequacy

Net worth as a percentage of assets	: The period-end balance of equity and reserves (excluding revaluation reserves) as a percentage of the period-end balance of total assets
Capital formation rate	: Net income less cash dividends declared as a percentage of net worth at the beginning of the year
CRAR, Tier I, CET I	: Regulatory capitalisation ratios as reported by the bank
Net NPA/Tangible net worth (solvency)	: Total NPAs less period-end balance of provisions for NPAs as a percentage of tangible net worth (or core equity capital) of the bank adjusted for revaluation reserves, accumulated losses and other deferred expenses

Resources

Deposit growth rate	: Increase in deposits as a percentage of previous period-end balance
Composition of deposits	: Mix of deposits like term, retail term, savings and current
Demographic profile of deposits	: Mix of deposits according to branch classification (urban, rural, metropolitan)
Concentration of deposits	: Share of top 20 deposits and large-ticket deposits

Asset Quality

NPA as a percentage of credit	: Total NPAs as a percentage of period-end credit
Stressed advances	: Gross NPA percentage + Standard restructured advances + Standard assets under various forbearance schemes + SR
Gross NPA generation rate	: Fresh NPAs added as a percentage of opening stock of performing assets
Net NPA generation rate	: Fresh NPAs less recoveries, upgrades and write-offs as a percentage of opening stock of performing assets
Provision coverage ratio	: The period-end balance of the provision for credit losses as a percentage of total NPAs
Loan growth	: The annualised change in period-end total loans as a percentage of the previous period-end balance

¹⁸ Average here indicates the average of the year-end figure of the current financial year and the previous financial year

Profitability

Return on assets	: Net income as a percentage of average assets
Return on RWAs	: Net income as a percentage of average risk-weighted assets
Return on net worth	: Net income as a percentage of average balance of equity and reserves
Yield on earning assets	: Interest income as a percentage of average interest-earning assets
Cost of interest-bearing liabilities	: Interest expense as a percentage of average interest-bearing liabilities
Gross interest spread	: Yield on earning assets less cost of interest-bearing liabilities
Net interest margins	: Interest income less interest expense, as a percentage of average total assets
Non-interest revenue/ATA	: Total of income from fees, commissions, gains or losses from foreign exchange trading and other non-interest income, as a percentage of average assets
Credit cost/ATA	: Total provision/write-offs (related to credit) in relation to average total assets
Non-interest expense/ATA	: Total of personnel, administrative, and other miscellaneous non-interest expenses, as a percentage of average total assets
Trading income/ATA	: Income from sale of investments as a percentage of average total assets
Operating profit/ATA	: Income, net of interest expenses and operating expenses, as a percentage of average total assets
Core operating profit/ATA	: Total income excluding trading income less interest expenses and operating expenses but excluding credit cost as a percentage of average total assets
Dividend payout	: Total dividends on equity share capital as a percentage of net profits

Liquidity

Liquid assets/deposits	: Non-interest bearing and interest-bearing deposits with other banks, plus other cash assets and marketable securities as a percentage of deposits
CDs to deposit	: Certificates of deposit as a percentage of deposits
Credit deposit ratio	: Outstanding advances as a percentage of deposits
Liquidity coverage ratio (LCR)	: Stock of high-quality liquid assets as a percentage of total net cash outflow over the next 30 days
Net stable funding ratio (NSFR)	: Amount of available stable funding (ASF) relative to the amount of required stable funding (RSF). ASF is defined as the portion of capital and liabilities expected to be reliable over the next one year. The amount of RSF is a function of the liquidity characteristics and residual maturities of the various assets held by that institution as well as those of its off-balance sheet exposures

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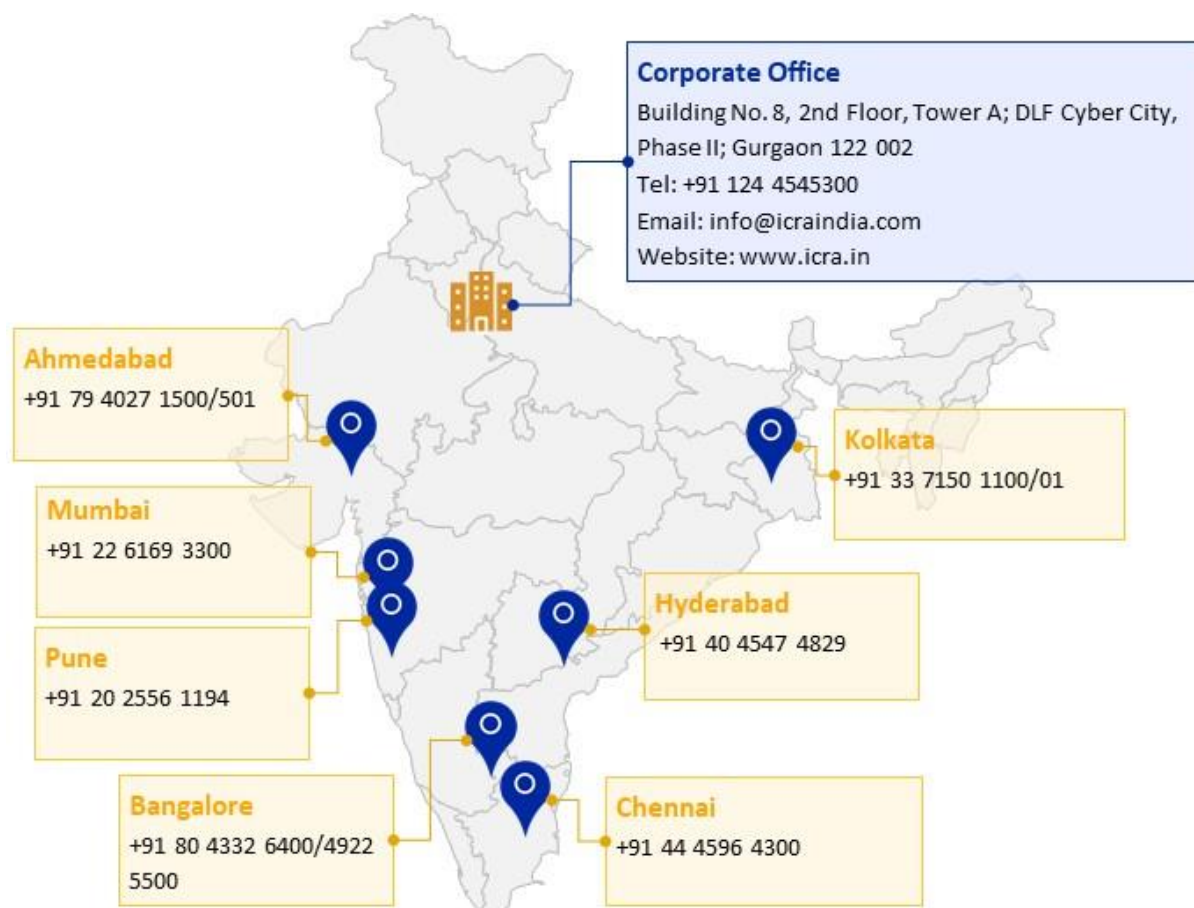
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Branches



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